
Journal

1991 PSC 1040

Court

HOUSE OF LORDS

Date

2016-10-29

Appeal No.

Judge

LORD BRIDGE OF HARWICH, LORD BRANDON OF OAKBROOK, LORD GRIFFITHS, LORD OLIVER OF AYLMEYTON AND LORD GOFF OF

Parties

FRANCIS & FRANCIS (A FIRM) VERSUS CENTRAL CRIMINAL COURT

Lawyers

ALAN NEWMAN AND PAUL INFELD FOR THE APPELLANTS. MICHAEL WORSLEY QC AND DAVID SPENS FOR THE RESPONDENT.

Statutes

CRIMINAL EVIDENCE

Judgment

LORD BRIDGE OF HARWICH. My Lords, the appellants are firm of solicitors. On 2 June 1987 Mr Recorder Crcspi QC, on the ex parte application of a detective constable in the Metropolitan Police Central Drug Squad, made an order under S 27 of the Drug Trafficking Offences Act 1986 requiring them to give the police access to all material in their possession relating to the affairs of one of their clients, who has been referred to in the proceedings as Mrs G. The appellants applied to discharge the order. On 12 June the order was varied his Honour Judge Machin QC to limit its application to materials relating to the purchase by Mrs G of a particular named property. On 18 June Judge Machin, at a further hearing, extended the time for compliance wiulh the order to 22 June. On 22 June the appellants made application for leave to move for judicial review on the ground that the documents required by the order to be produced were 'items subject to legal privilege' as defined by S 10 of the Police and Criminal Evidence Act 1984 which is adopted by reference for the purposes of S 27 of tch 1986 Act by S 29 This came before Otton J, who considered-the documents and divided them into categories which he listed in schedules A and B to his order. Schedule A lists documents arguably subject to legal privilege; schedule B lists documents clearly not subject to legal privilege. Otton J gave leave to move to quash the order so far as it related to the documents in schedule A.

The substantive application for judicial review was refused by the Divisional Court (Lloyd LJ and Macpherson J) (1988]l All ER 677, [1988J2 WLR 627) on the ground that the documents were 'items held with the intention of furthering a criminal purpose' which are excluded from privilege by S 10(2) of the 1984 Act. The epurt certified a point of law of general public importance in the following terms: 'Whether upon the true construction of Section 10(2) of the Police and Criminal Evidence Act 1984, items which would otherwise fall within the definition of "items subject to legal privilege" are excluded from that definition if, but only if the Solicitor or other person holding the item in question has the intention of furthering a criminal purpose, or whether the relevant intention may include the intention of the client, or of a third parly?' The appellants now appeal by leave of the Divisional Court.

Before addressing the main issue raised by the appeal some peripheral and introductory matters call for mention. The jurisdiction to make orders under S 27 of the 1986 Act for production or disclosure of material is conferred on a circuit judge, as such, not on the Crown Court. The same is true of the jurisdiction under Sch 1 to the 1984 Act to make orders for the production or disclosure of 'excluded material' or 'special procedure material' as defined by SS 11 and 14. This may be because applications for such orders may sometimes need to be made to a judge not sitting in court but wherever he can be found. Be that as it may, recorders, as such, have no jurisdiction to make such orders. Reference was made in argument to S 24 of the Courts Act 1971.

This clothes deputy circuit judges and assistant recorders with the jurisdiction of circuit judges and recorders respectively, but it does not clothe recorders with the jurisdiction of circuit judges. Thus the order of Mr.Recorder Crespi was made without jurisdiction and was a nullity, but the defect was fortuitously cured when the varied order was made by Judge Machin.

It is right to point out that the appellants have at no time sought the instructions of their client, Mrs G, in relation to the order under 27.Section 31 of the 1986 Act makes it an offence for a person on whom an order under S 27 has been served, why therefore knows that an investigation into drug trafficking is taking place, to make 'any disclosure which is likely to prejudice the investigation. The section provides a defence to a person who had 'lawful authority or reasonable excuse for making the disclosure'. The appellants were nevertheless apprehensive that they might fall foul of S 31 if they disclosed the order to Mrs G.

For all we know, she still knows nothing of the proceedings.

I must not be taken as criticising any of the parties, but I regard it as unfortunate that in an appeal of such far-reaching importance as this the factual material on which the order under attack is based comes before us in such an exiguous form. No note was taken of the hearing before Judge Machin on 12 June 1987, which was the substantive hearing, and all we know of the evidence before him and of his reasons for making the order he did must be collected from the affidavit, sworn in the judicial review proceedings, of Det Con Hill, the applicant for the order and presumably the officer in charge of the investigation. This sets out, in summary, that a drug trafficker on a very large scale was believed to be 'laundering' the proceeds of drug trafficking on a very large scale was believed to be 'laundering' the proceeds of drug trafficking by enabling Mrs G, who is a member of his family and who has a flower shop business, to purchase the property named in the order for £330,000 with the benefit of a mortgage to be paid out of the proceeds of the drug trafficking through the flower shop business. The concluding paragraph of the affidavit states, somewhat cryptically; 'His Honour Judge Machin Q.C. ruled that [Mrs G's] business was being used to launder the proceeds of drug-trafficking, and that monies to be used for the purchase of the aforesaid particular house were the proceeds of drug-trafficking and that [Mrs G, of furthering the criminal purpose of concealing the proceeds of drug-trafficking and that Mrs.G] had benefited therefrom either knowingly or unknowingly. He said he was satisfied that the items which were the subject of the Order he made, were held with the intention of furthering a criminal purpose.' On the basis of this material the case has been argued both before the Divisional Court and before your Lordships, on the following assumptions: (1) that the suspected drug trafficker had the intention, by acquiring property for Mrs G, of furthering the criminal purpose of concealing the proceeds of drug trafficking; (2) that Mrs G was innocent of complicity in that criminal purpose; (3) that the appellants, in advising Mrs. G in connection with the acquisition of the property in question, have acted throughout with complete propriety and with no suspicion of any illegality affecting the transaction.

Part II of the 1984 Act, under the heading 'Powers of Entry, Search and Seizure', contains a code of important powers to enable police in the conduct of criminal investigations to obtain access to relevant evidential material, Sections 27 to 32 of the 1986 Act provide a particular code for investigations into drug trafficking. Although the 1986 Act embodies its own special procedure and in some respects amplifies and fortifies the powers under Pt II of the 1984 Act, the two codes have much in common and, in particular, throughout both codes runs a consistent thread that items subject to legal privilege' as defined in S 10 of the 1984 Act are placed beyond the reach of any of the investigative powers conferred.

The code embodied in Pt II of the 1984 Act divides material to which the police, in the course of criminal investigation, may seek to obtain access into four broad categories. The first general category includes all material not subject to the special limitations affecting the other three. Access to this unrestricted category of material may be obtained by search warrant issued on application by a constable to a justice of the peace who is satisfied of the criteria prescribed by S.8 of the Act or by a search warrant issued in pursuance of any other statute. But S 9 excludes other statutory powers of search under any Act passed before the 1984 Act for the purposes of a criminal investigation in relation to the three categories 'items subject to legal privilege', 'excluded material' and 'special procedure material'. These categories are defined respectively in SS 10, 11 and 14. By S 9 access to excluded material and special procedure material may only be obtained under the special procedure prescribed by Sch 1 to the 1984 Act. It is unnecessary to examine in detail the definition of excluded material, which by its nature does not include items subject to legal privilege. 'Special procedure material is defined by S 14 and includes: . (2) material, other than items subject to legal privilege and excluded material, in the possession of a

person who-(a) acquired or created it in the course of any profession . . . and (b) holds in subject-(i) to an express or implied undertaking to hold it in confidence...

Thus it is clear that all documents and other records in the possession of a solicitor in relation to the affairs of his clients are special procedure material unless they are subject to legal privilege.

The procedure for obtaining access to special procedure material under Sell 1 is by application inter pares to a circuit judge on notice to the person in possession of the material sought. The judge, if satisfied that the appropriate conditions are fulfilled, may make an order under para 4 of Sch 1 that- 'the person who appears to him] to be (the person] in possession of the material to which the application relates shall--(a) produce it to a constable for him to take it away; or (b) give a constable access to it.

Failure to comply with an order under para 4 falls to be treated as a contempt of the Crown Court. In certain exceptional circumstances defined in the schedule, including in particular that service of notice of application for an order under para 4 may seriously prejudice the investigation, the judge, instead of making an order under para 4, may issue a warrant to search the premises where the special procedure material is believed to be.

It is further to be noted that a constable who is lawfully on any premises has, in addition to any specific powers conferred by other provisions, the wide powers of seizure conferred by S 19(2) and (3) subject only to the restriction imposed by S 19(6), which provides: 'No power of seizure conferred on a constable under any enactment (including an enactment contained in an act passed after this Act) is to be taken to authorise the seizure of an item which the constable exercising the power has reasonable grounds for believing to be subject to legal privilege.' It is against this background and in this overall context that S 10 of the 1984 Act falls to be construed. This section provides: '(1) Subject to subsection (2) below, in this Act "items subject to legal privilege" means-(a) communications between a professional legal adviser and his client or any person representing his client made in connection with the giving of legal advice to the client; (b) communications between a professional legal adviser and his client or any person representing his client or between such an adviser or his client or any such representative and any other person made in connection with or in contemplation of legal proceedings and for the purposes of such proceedings; and (c) items enclosed with or referred to in such communications and made--(i) in connection with the giving of legal advice; or (ii) in connection with or in contemplation of legal proceedings and for the purposes of such proceedings, when they are in the possession of a person who is entitled to possession of them.

(2) Items held with the intention of furthering a criminal purpose are not items subject to legal privilege.' At the very outset the key question arises: to whose intention does sub-S(2) refer? If the language is to be given its ordinary, grammatical meaning, it seems to me that the answer must be the holder. But I note that some of your Lordships do not accept this. The question, accordingly, warrants some analysis. The verb held is used in the passive voice and connotes that the items are held by somebody. The phrase 'with the intention of furthering a criminal purpose' is an adverbial phrase qualifying the verb 'held': it describes the intention with which the items are held, it must therefore refer to the intention of the person by whom the items are held. If I write the sentence 'A holds an item with the intention of using it for a criminal purpose', the intention must be that of A. To write 'A holds an item with the intention of any person including A of using it for a criminal purpose' is simply ungrammatical. The sentence does not become grammatical by being expressed passively in the form 'The items are held by A with the intention of any person including A of using it etc'. My noble and learned friend Lord Griffiths gives the example: 'Ammunition held in the armoury with the intention of firing it at Biscy must be inspected.' Here the context is designed to demonstrate that the phrase 'held with the intention'

cannot refer to the intention of the holder. But all this shows, with respect, is that the sentence is expressed in slipshod and ungrammatical English. To convey the writer's evident meaning accurately and grammatically it must read: 'Ammunition held in the armoury and intended to be fired at Biscy must be inspected'. This analysis may sound pedantic, but it is a basic rule of statutory construction that the draftsman is presumed to use the English language accurately and grammatically. .

The next question is: who is the holder? It was strenuously argued for the respondent that, where a solicitor holds documents communicated to him by a client or recording communications with the client, he holds them on behalf of the client and, just as if the communications are privileged at common law the privilege is that of the client and not of the solicitor, so also it is a proper use of language to speak of the documents being held by the client, not by the solicitor. This, it was urged, must be the meaning intended in the context of s 10, because the section is intended as a compendious statement of the common law of legal professional privilege and only if subs (2) is construed in the manner suggested would it have the appropriate effect of expressing the principle expounded in the leading case of *R v Cox and Railton* (LSS4) 14 QBD 153, [1881-5] All ER Rep 68. This argument, even if well founded, is not, of course, of itself sufficient to enable the respondent successfully to resist this appeal. I acknowledge that, in contradistinction to any construction of s 10(2) which requires the relevant intention to be imputed to some person other than the holder of the items in question, a construction which identifies a solicitor's client as the holder of documents which are in the possession of his solicitor is one which the language is capable of bearing. But I reject the argument for three principal reasons.

First, looking at Pt II of the 1984 Act as a whole, I find the verb to 'hold' used by the draftsman repeatedly in contexts which identify the holder with the person in possession of material to which access is sought by an application under Sch 1. It is the person in possession on whom the application is served; it is the person in possession to whom an order under para 4 of the schedule is addressed and who must comply with it by producing or giving access to the material. But throughout SS 11 and 14 we find the material to which access can only be obtained by resort to the procedure under Sch 1 identified by reference to the relevant circumstances in which the person in possession of the material holds it. In S 11 repeated reference to material of different kinds 'which a person holds in confidence' appear in contexts which can only refer to the person in possession. In S 14(2), to which I have already referred, this becomes clear and express in the reference to 'material... in the possession of a person who (b) holds it subject to an express or implied undertaking to hold it in confidence'. Reading the two sections and the schedule together, the identity between holder and possessor is so plain that I cannot think that the draftsman used the word 'held' in S 10 (2) in any different sense.

Second, I do not see any sound basis for making the assumption that in S 10 Parliament set out to reproduce in the form of a statutory code every aspect of the common law relating to legal professional privilege. On the contrary, if a true codification had been intended, something substantially more elaborate would clearly have been required. If, on the other hand, Parliament had intended, without codification, that the common law rules should determine whether or not material was to be immune from discovery under the powers of Pt II on the ground that it was subject to legal professional privilege, it would have been simple to say so. For example, S 208(8) of the Taxes Management Act 1970, as inserted by the Finance Act 1976, exempts from compulsory disclosure to the revenue authorities by a solicitor without his client's consent 'any document with respect to which a claim to professional privilege could be maintained.' The question whether the mere fact that the language of the statute draws the boundary of privilege otherwise than the common law would draw it justifies the court in departing from the ordinary meaning of the language in order to avoid absurdity is one to which I must return later.

The third, and to my mind perhaps the most cogent, reason for rejecting the argument based on the common law rule is this.

The rule as laid down in *R v Cox and Railton* (1884) 14 QBD 153, [1881-5] All ER Rep 68 and as followed ever since, excludes the protection of legal professional privilege from communications made by a client to his solicitor with the intention of furthering a criminal purpose. In this situation, as it is put in the judgment of the court, delivered by Stephen J (14 QBD 153 at 168, (1881-5) All ER Rep 68 at 72): 'The client must either conspire with his solicitor or deceive him'. Now I take it, subject to a point which will consider later, that communications between client and solicitor in the course of a criminal conspiracy to which both are party are the primary target at which the language of S 10(2) is aimed. But if the draftsman of this section intended equally to exclude privilege in the case where the solicitor has been deceived, the language appropriate to effect that intention was staring him in the face in sub-S. The definition of 'items subject to legal privilege' in subs (1) refers throughout to communications made. Substitute the word 'made' for the word 'held' in sub-S (2) and it immediately becomes apt to cover both the case where the solicitor has conspired and the case where he has been deceived. The contrast between the use of the two different verbs in the two subsections is far too striking to be attributable to slipshod draftsmanship. On this ground alone I should find it impossible to construe subs(2) as intended to deny legal privilege to communications of a kind otherwise privileged made by a client to his solicitor with the intention of furthering a criminal purpose but held by the innocent solicitor with no such intention and in ignorance of the purpose.

Lloyd LJ in the Divisional Court said ([1988]1 All ER 677 at 681, [1988]2 WLR 627 at 632): 'On the face of it, SS 10(2) corresponds to the exception grafted on the common law by *R v Cox and Railton* (1884) 14 QBD 153, [1881-5] All ER Rep 68 and followed on numerous occasions ever since.

This was the essential foundation for his conclusion that 'the relevant intention for the purpose of S 10(2) must at least include the client's intention' (see [1988]1 All ER 677 at 682, [1988]2 WLR 627 at 633); For the reasons I have indicated I cannot, with respect, agree. Lloyd LJ went on from this premise to point out that 'a criminal purpose' means 'any criminal purpose', a reading with which I see no reason to disagree. But he then continued [1988]1 All ER 677 at 682, [1988]2 WLR 627 at 633): 'If so, then the logic of the argument, which I have accepted so far, leads to the conclusion that the criminal purpose may be the purpose of a third party as well as the client, at any rate if the client is the innocent instrument or beneficiary of the third party's criminal purpose.' It was on the basis of this chain of reasoning that I felt able to hold that S 10(2) could be paraphrased: 'items held by the solicitor or any person entitled to possession of them which are intended to further any criminal purpose are not items subject to legal privilege.' The fallacy in this reasoning arises from asking the question: whose is the criminal purpose? The criminal purpose may certainly be that of a third party, but the problem is to identify the person whose intention to further that purpose is embraced by the language of the subsection. Lloyd LJ's 'paraphrase' rewrites the subsection in such a way as to embrace the intention of third parties at large, without identifying the nature of the nexus which must exist between the intention of the third party and the holder of the item for which privilege is claimed. Such a widening of the ambit of the subsection cannot, in my respectful opinion, be justified by any legitimate process of implication of terms.

Counsel for the respondent, invited in argument to indicate what terms he submitted could properly be implied in S 10(2) to enable it to yield the meaning for which he contended, submitted a document indicating that the crucial phrase should read by implication: "held [by some person or persons] [solely] [jointly] [as agent or instrument of another or others] with the intention [on the part of] [the person holding] or some other person or persons [or both] of

furthering a purpose of the holder][some other person or persons][or both][which is] criminal [mischief] [to the knowledge of the holder] or without the knowledge of the holder.' Given, as I take to be the case, that all the words and phrases separately enclosed in square brackets are put forward as options from which the House is invited to choose such as may be necessary to sustain the respondent's argument, the document certainly offers a bewildering variety of choice. My Lords, in making that comment, I do not intend to be in the least flippant. It does seem to me of the utmost importance that before construing statutes in a sense which the words in their ordinary grammatical meaning do not convey, a court should be in a position confidently to spell out the additional words which can be implied into the statutory language and to identify the ground on which it relies as justifying the necessity for making such an implication. In this case I must say frankly that I have seen no suggested reading of s 10(2) which spells out appropriate implied terms nor have I heard any argument which would justify an implication sufficient to sustain the meaning contended for by the respondent.

I have naturally read with the utmost concern and respect the speech of my noble and learned friend Lord Goff in which he expresses a conclusion at variance with my own. He construes the words "items held with the intention of furthering a criminal purpose".

'a shorthand expression for (in the case of items held by a solicitor) items (1) which have come into the possession of the solicitor with the intention of furthering a criminal purpose", and (2) which are still in his possession at the time when he is required to give production of them.

In the light of the reasoning in the paragraph of my noble and learned friend's speech which immediately precedes the passage I have quoted, I take it that his 'shorthand expression' when applied to documents in the possession of a solicitor, will read, if fully written out in longhand, 'items held [by a solicitor, being communications which were made to him] with the intention of furthering a criminal purpose'. Nothing less than an implication in these terms would, in my opinion, suffice to surmount the main obstacle which stands in the way of the respondent's proposed construction. I have already indicated my reasons for rejecting the view that the draftsman used the word 'held' to convey the quite different meaning he would have signified by the use of the word made. The suggested implication achieves the same result, so to speak, by the back door. But I must now turn to consider whether the doctrine of construction to avoid absurdity can be invoked to justify making such an implication.

The essence of the argument advanced on behalf of the respondent, although presented with many variants and elaborations, was that it would be absurd to suppose that Parliament should not have made accessible to police engaged in any criminal investigation whatsoever material which would eventually be admissible in evidence as unprotected by the common law rules governing legal professional privilege. I would call it a positive and a negative absurdity. It is one thing to abstain from giving to the language of a statute the full effect of its ordinary grammatical meaning in order to avoid some positively harmful or manifestly unjust consequence. This I would describe as a legitimate process of construction to avoid a positive absurdity. But it is quite another thing to read into a statute a meaning which the language used will not bear in order to remedy a supposed defect or shortcoming which, if not made good, will make the statutory machinery less effective than the court believes it ought to be in order to achieve its proper purpose. Even if the lacuna appears to the court as absurd, this is what I describe, inelegantly but in order to point the contrast, as a negative absurdity. I know of no legitimate principle of construction which permits such a negative absurdity to be remedied by implying words which the court thinks necessary to enhance the operation of the statutory machinery. In *Barnard v Gorman* [1941] 3 All ER 45 at 48, [1941] AC 378 at 384 Viscount Simon LC expressed the principle concisely: 'Our duty in the matter is plain. We must not give the statutory words a wider meaning merely because, on a narrower construction, the words might leave a loophole for

frauds against the revenue. If, on the proper construction of the section, that is the result, it is not for judges to attempt to cure it. That is the business of Parliament.' No one doubts the importance to the administration of justice of an effective system of criminal investigation on the one hand or of the privilege which the law accords to confidential communications made for the purpose of obtaining legal advice on the other. At some points the two interests may come into conflict. There appear to me to be a number of considerations which might not unreasonably have induced the legislature to suppose that the protection of material of a kind prima facie entitled to privilege, and perhaps more particularly the protection of solicitors in the performance of their primary duty to safeguard the privilege to which their clients are entitled, required (the application of criteria in the statutory process of criminal investigation differing in some respects from those which the court would apply in deciding whether or not a claim of privilege should prevent material being received in evidence. The court in the latter case may be presumed to know' all the relevant facts on which the issue depends. Where the issue turns on whether the client was seeking advice for a criminal purpose, the importance of a full and careful assessment of the facts is emphasised by the judgment in *R v Cox and Railton* (1884) 14 QBD 153 at 175-176, [18&1-5] All ER Rep 68 at 76 itself, where Stephen J said: 'We were greatly pressed with the argument that, speaking practically, the admission of any such exception to the privilege of legal advisers as that it is not to extend to communications made in furtherance of any criminal or fraudulent purpose would greatly diminish the value of that privilege. The privilege must, it was argued, be violated in order to ascertain whether it exists. The secret must be told in order to see whether it ought to be kept. We were earnestly pressed to lay down some rule as to the manner in which this consequence should be avoided. The only thing which we feel authorized to say upon this matter is, - that in each particular case the Court must determine upon the facts actually given in evidence 'Or proposed to be given in evidence, whether it 'seems probable that the accused person may have consulted his legal adviser, not after the commission of the crime for the legitimate purpose of being defended, but before the commission of the crime for the purpose of being guided or helped in committing it.

We are far from saying that the question whether the advice was taken before or after the offence will always be decisive as to the admissibility of such evidence. Courts must in every instance judge for themselves on the special facts of each particular case, just as they must judge whether a witness deserves to be examined on the supposition that he is hostile, or whether a dying declaration was made in the immediate prospect of death.' The position of a judge ruling on an application for an order under Sch 1 to the 1984 Act will be very different from that of a court ruling on a claim of admissibility. The applicant will be a police officer seeking, on the basis of information and belief, to satisfy the judge under para 2(a) of the schedule that 'there are reasonable grounds for believing', inter alia, that the material to which he seeks access satisfies the definition of special procedure material in that it does not include items subject to legal privilege. The respondent will be the solicitor in possession of the material who may or may not have been able to obtain the instructions of his client and will, in any event, know nothing of the intentions of any third party. In this situation the judge will be quite unable to make the assessment of the 'special facts of the particular case' which Stephen J commended as necessary. Moreover, the respondent solicitor who is ignorant of any criminal intention on the part of his client or anyone else will be unable, on the basis of his own knowledge, to do anything to protect a privilege which it is his primary duty to protect. If for any reason a warrant to search the solicitor's office has been issued without resort to the full Sch 1 procedure, the innocent solicitor will be placed in a dilemma unless he can with confidence claim privilege in due performance of his duty for material which he honestly believes to be privileged. I do not necessarily attach any great weight to these considerations, but I do think they are of sufficient weight to make it impossible to say that Parliament cannot have intended that there should be any difference between the scope of legal privilege as defined by S 10 and that of legal professional privilege as laid down by the common law and on that ground to imply in S 10(2)

whatever words are necessary to bring them into conformity.

My noble and learned friend Lord Goff bases his conclusion that S 10(2) must be read as referring to the intention of some person other than the holder of the items in dispute on a quite different absurdity which he says would follow from giving the language of the subsection its ordinary or literal meaning. The starting point in the reasoning, as I understand it, is this. A person can only hold an item with the intention of furthering a criminal purpose up to the time when the purpose has been achieved. Thus, where a solicitor has conspired with his client in advising with the intention of furthering a criminal purpose, he initially holds the relevant communications with that intention. But once the purpose has been achieved it would be absurd that the items should attract privilege on the ground that they are then no longer held by the solicitor with the relevant intention. So far I agree. This indeed would be an absurd result. But whether and how S 10(2) can be construed to avoid this result is not the issue in this appeal. Where I part company with my noble and learned friend is in the next step of the reasoning which proceeds immediately to the conclusion that the avoidance of the absurdity he envisages requires so drastic a remedy in construing S 10(2) as the outright rejection of the holder of the items in dispute as the party whose intention is referred to and the substitution, in the case of a solicitor, whether fraudulent or innocent, of his client or some third party. In the unlikely event that any court should ever be confronted with the submission that items originally held by a solicitor with the intention of furthering a criminal purpose attracted privilege for the first time when the criminal purpose was achieved, I do not think that the court would have much difficulty in rejecting it. Without doing any violence to language, it is surely not difficult to say that items held by a solicitor with the intention of furthering a criminal purpose when they first come into his possession and at that time excluded from privilege by S 10(2) remain subject to the exclusion so long as he holds the items, if an implication is required to be spelt out to cover this situation, it would read. I think: Items held with the intention [entertained by the holder at any time] of furthering a criminal purpose- This implication involves no such radical departure from the ordinary meaning of the statutory language as is required by an implication capable of sustaining the meaning contended for by the respondent.

For these reasons I have reached the conclusion that in order to obtain an order under either Sch 1 to the 1984 Act or S 27 of the 1986 Act for access to material in the possession of a solicitor which would be subject to legal privilege under S 10(2), the constable applying must satisfy the judge that there are reasonable grounds for suspecting not only that the items are or were intended to further a criminal purpose but also that the solicitor is or was party to that intention. I realise, of course, that this construction renders the powers of investigation available to the police for the purpose of the two statutes significantly less effective than some might think they should be. On the other hand, the construction has the merit of ensuring that what may be an entirely legitimate claim to privilege is not violated before the court can possibly be in possession of adequate material to determine its validity. We are concerned with the interests which are both of profound concern to the proper administration of justice and which here inevitably come into conflict. I do not think the resolution of the conflict in the manner which results from the construction I put on S 10(2) can be condemned out of hand as absurd.

If the decision of the majority of your Lordships stopped short at construing S 10(2) of the 1984 Act as embracing the intention of a client who has deceived his solicitor, and thus bringing the statute into line with the common law as expounded in *R v Cox and Railton* (1884) 14 QBD 153, [1881-5] All ER Rep 68, I should be content to indicate my dissent for the reasons I have already sought to explain. But your Lordships take the very large further step of deciding that otherwise privileged communications between an innocent solicitor and his innocent client may lose their privilege, both under the statute and at common law by reference to the intention of some third party to further a criminal purpose. As the case has been presented throughout, this is a

necessary step if the decision of the Divisional Court is to be upheld and I well understand your Lordships' concern to give every assistance to the police in pursuit of drug traffickers, who are rightly regarded as enemies of society scarcely less deadly than terrorist. But this development of the law goes well beyond any previous authority and, if it is a legitimate extension of a previously accepted principle, it should be capable of being expressed in language sufficiently precise to make clear the boundary within which the new principle is to apply that the criminal intention of one party may operate to deprive another innocent party seeking legal advice of the protection of legal professional privilege. The answer proposed by your Lordships to the certified question in terms suggests that the relevant intention for the purposes of S 10(2) may be that of 'any other person' without limitation. The only other language which I find in any of your Lordships speeches to indicate the required nexus between the criminal party and the innocent party, who is to be deprived of legal professional privilege for communications with his legal adviser, is that the latter is the 'innocent tool of the former. If this is intended to serve as a sufficient definition of a new legal principle. I must say, with all respect, that I find it totally inadequate.

As I have earlier pointed out the facts on which we are required to decide this appeal are exiguously stated. All that is certain is that we are required to assume that Mrs (1) was the innocent beneficiary of the suspected drug trafficker's unconditional largesse.

On this basis I can see that Mrs (1) may be described as the innocent tool of the drug trafficker in receiving his ill-gotten gains which he wished to 'launder'. I find it much more difficult to say that she acted as his innocent tool in seeking legal advice in relation to the details of the property transaction effected with the proceeds. Be that as it may, the result in the instant case is of minor importance compared to the use which will be made of your Lordship's decision in future unforeseen and unforeseeable circumstances. Counsel in his forceful submissions for the respondent made no secret of the fact that the police regarded this as a test case of crucial importance and seek to open a very wide door in favour of criminal investigation at the expense of privilege.

If S 10(2) were to be construed as embodying his suggested implied terms at their widest, it would seem to give the police unlimited access to privileged material which they could plausibly suggest to be intended to serve a criminal purpose irrespective of any connection between the party claiming privilege and the party whose criminal purpose was alleged to be served.

It is for these reasons that I am apprehensive that your Lordships' decision will open the door to a spate of applications to obtain access to privileged material on the ground that the privilege is vitiated by a criminal intention on the part of some third party. It will then fall to circuit judges, on a case by case basis, to seek to define the limits of application of the new principle in the absence of guidance from your Lordships. It is for their benefit that I feel obliged to sound this note of warning. Whilst loyally accepting the authority of your Lordships' answer to the certified question as a satisfactory statement of the law without further limitation and definition.

For my part. I would allow the appeal and remit the case to the Divisional Court to determine which, if any, of the documents listed in schedule A to Oulton's order are items subject to legal privilege under S 10(1) of the 1984 Act. I would answer the certified question as follows: on the true construction of S 10(2) of the Police and Criminal Evidence Act 1984 items which would otherwise fall within the definition of items subject to legal privilege are excluded from that definition if, but only if, the solicitor or other person holding the item in question has the intention of furthering a criminal purpose.

LORD BRANDON OF OAKBROOK. My Lords, Part I of the Police and Criminal Evidence Act

1984, which comprises SS 8 to 22, is headed Powers of Entry. Search and Seizure. Under S 8 a justice of the peace, if satisfied of certain . specified matters, may issue a warrant authorising a constable to enter and search premises for material likely to be of evidential value in relation to a serious arrestable offence, and a constable, acting on such a warrant, may seize and retain any such material. Items subject to legal privilege, however, are expressly excluded from the ambit of material which may be the subject matter of such a warrant.

The expression items subject to legal privilege as used in S 8 is defined in S 10, which provides:

(1) Subject to subsection (2) below in this Act "items subject to legal privilege" means-(a) communications between a professional legal adviser and his client or any person representing his client made in connection with the giving of legal advice to the client ; (b) communications between a professional legal adviser and his client or any person representing his client or between such an adviser or his client or any such representative and any other person made in connection with or in contemplation of legal proceedings and for the purposes of such proceedings; and (c) items enclosed with or referred to in such communications and made (i) in connection with the giving of legal advice; or (ii) in connection with or in contemplation of legal proceedings and for the purposes of such proceedings, when they are in the possession of a person who is entitled to possession of them.

(2) Items held with the intention of furthering a criminal purpose are not items subject to legal privilege.' It is clear that the person by whom items are held in terms of sub-S (2) is the person in whose possession they are and who is entitled to possession of them in terms of sub-S That person is the holder of the items and will in most cases be a solicitor.

The question for decision in this appeal is to whose intention the expression 'with the intention of furthering a criminal purpose contained in sub-S (2) refers. Does it refer to the intention of the holder only (the first meaning)? Or does it refer to the intention of any person including the holder (the second meaning)? It has been suggested that the first meaning is the literal meaning of the expression, and even that it is the only meaning which the expression is, as a matter of grammar, capable of having. With great respect to those of your Lordships who are of that opinion, I do not agree with it. It would have been possible for the draftsman to have inserted the qualifying words 'of the holder' between the word 'intention' and the words 'of furthering'. Subsection(2) would then have read 'Items held with the intention of the holder of furthering a criminal purpose are not items subject to legal privilege', and the first meaning would then with certainty have been the meaning intended. The draftsman could on the other hand have inserted the qualifying words 'of the holder or any other person' in the same place. Subsection (2) would then have read 'Items held with the intention of the holder or any other person of furthering a criminal purpose are not items subject to legal privilege'. There would have been nothing ungrammatical in making the latter insertion, and the result of it would have been that the second meaning would with certainty have been intended.

What then is the consequence of the draftsman having inserted no qualifying words between the word 'intention' and the words 'of furthering'? It is not, in my view, that the expression is only capable of having the first meaning. It is rather that the expression is capable of having either the first meaning or the second meaning, and that a choice between the two meanings has to be made by reference to the purpose of Pt II of the 1984 Act.

That purpose is to give the police the power, when so authorised on proper grounds by the appropriate judicial authority, to enter premises, search for material likely to be of evidential value in relation to a serious offence, and to seize and retain such material. That power is conferred on the police in the public interest, so that serious crimes may be more easily and effectively investigated and the perpetrators of them more easily and effectively prosecuted. If the first

meaning of the expression with the intention of furthering a criminal purpose' is adopted, the result will be that items held by a solicitor will only be subject to search, seizure and retention if the solicitor himself has the intention concerned. If the second meaning of the expression is adopted, the result will be that items held by a solicitor will be subject to search, seizure and retention not only in cases where a solicitor himself has the intention concerned, but also in cases where a client, or another person making use of a client as an intermediary, has the intention concerned.

Because cases of solicitors having the intention of furthering a criminal purpose are a happy rate, the first result referred to above would do little to assist in achieving the purpose of Pt II of the Act, and would allow the principle of legal privilege to be used to protect the perpetrators of serious crimes. By contrast, the second result referred to above would materially assist in achieving the purpose of Pt II of the Act, and would prevent the principle of legal privilege being used to protect the perpetrators of serious crimes.

The conclusion to which I am led by these considerations is that the legislature must have intended to bring about the second result rather than the first, and that the expression with the intention of furthering a criminal purpose' should therefore be given the second meaning rather than the first. I would therefore answer the certified question as follows; on the true construction of S 10(2) of the Police and Criminal Evidence Act 1984 items which would otherwise come within the definition of items subject to legal privilege' contained in S 10(1) are excluded from that definition if they are held with the intention of either the holder or any other person of furthering a criminal purpose; I would dismiss the appeal accordingly.

LORD GRIFFITHS. My Lords, it is only because of the difference of opinion as to the true construction of the relevant section disclosed in your Lordships' speeches, that I venture to set out some of the considerations that lead me to prefer the construction adopted by my noble and learned friends Lord Brandon and Lord Goff. I would otherwise have been content to say that I entirely agree that the appeal should be dismissed for the reasons contained in the speech of Lord Goff.

The police suspect a man of being an illegal drug dealer on a very large scale; they also suspect that he is laundering the money that he makes from his drug dealing. In particular, they suspect that he has passed money through a florist's business run by a female all the documents relating to the purchase of the property which are presently in the possession of the appellants, a firm of solicitors that acted on behalf of the female relative when she purchased the property. The police do not allege that the appellants were aware that drug money was being used for the purchase of the house and we are also to assume, which I confess I find somewhat unlikely, that the female relative is also unaware that drug money' has been used to assist in the purchase of the property. It is, however, notorious that vast profits are made out of illegal drug trafficking under the cover of apparently respectable businesses and it is possible that even the relative; of a drug dealer may be unaware of the true source of his wealth.

In order to obtain access to these documents in the possession of the appellants which the police believe may help to prove that the drug dealer is laundering his money, they made an application for an order pursuant to S 27 of the Drug Trafficking Offences Act 1986. The application originally came before a recorder of the Crown Court who made an order in very wide terms.

This was an error as Lord Bridge has explained, but, fortunately, it was corrected because when the appellants applied to set aside the recorder's order, their application was heard by a circuit judge who made an order in narrower terms requiring them to give access to the documentation

relating to the purchase of the particular property.

Before a judge makes an order under S 27 he must be satisfied that the conditions set out in sub-S(4) are fulfilled, namely: that there are reasonable grounds for suspecting that a specified person has carried on or has benefited from drug trafficking, (b) that there are reasonable grounds for suspecting that the material to which the application relates (i) is likely to be of substantial value (whether by itself or together with other material) to the investigation for the purpose of which the application is made, and (ii) does not consist of or include items subject to legal privilege or excluded material, and (c) that there are reasonable grounds for believing that it is in the public interest, having regard-(i) to the benefit likely to accrue to the investigation if the material is obtained, and (ii) to the circumstances under which the person in possession of the material holds it, that the material should be produced or that access to it should be given.

We have no copy of the evidence given to the judge by the police on the application but there is no suggestion that these conditions were not fulfilled in so far as there are reasonable grounds for suspecting that a named person is drug trafficking, that access to the documentation is likely to be of substantial value to establish that drug money is being laundered by that person and that it is in the public interest that the police should have access to the documents. The sole challenge to the judge's order is that the documentation included items subject to legal privilege which, by virtue of S 4(b)(ii), cannot be made the subject of an order under S 27.

The 1086 Act incorporates the definition of legal privilege contained in S 10 of the Police and Criminal Evidence Act 1984, which provides: Subject to subsection (2) below, in this Act "items subject to legal privilege" means-' (a) communications between a professional legal adviser and his client or any person representing this client made in connection with the giving of legal advice to the client; (b) communications between a professional legal adviser and his client or any person representing his client or between such an adviser or his client or any such representative and any other person made in connection with or in contemplation of legal proceedings and for the purposes of such proceedings; and (c) items enclosed with or referred to in such communications and made-(i) in connection with the giving of legal advice; or (ii) in connection with or in they are in the possession of a person who is entitled to possession of them.

(2) Items held with the intention of furthering a criminal purpose are not items subject to legal privilege.

The definition corresponds closely with the established common law principles that govern the existence of legal privilege.

Section 10(1) sets out the scope of legal privilege in terms that would be instantly recognised by any lawyer as covering the position at common law, and when I first reads 10(2) I was in no doubt that it was setting out the exception of legal privilege established in *R v Cox and Railton* (1884) 14 QBD 153, [1881-5] All ER Rep 68, which provides that no legal privilege attaches to legal advice obtained for the purpose of committing crime.

It is, however, submitted that this is not the meaning of S 10(2) and that the language compels one to construe it so that legal privilege is only lost if the solicitor or other person holding the document is himself party to the criminal purpose for which the advice was obtained. This seems to me to be such an extraordinary result that I would only adopt such a construction if driven to it. Let us see where it leads. A drug dealer making vast profits wishes to move his money to a foreign country out of the reach of the police. He goes to a solicitor to seek legal advice about the transfer of the money. The drug dealer runs an apparently respectable business and the solicitor

does not realise he is being asked to advise on the disposal of drug money and accordingly he sets up a scheme for (he transfer of the money. This advice given by the solicitor would not be protected from disclosure by legal privilege at common law because it was advice obtained for the purpose of furthering illegal drug trafficking.

But, if the appellants' construction is right, the police cannot get access to this documentation to prepare (he case against the drug trafficker because it is legal advice within the meaning of S 10(1)(a) and is not excepted by S 10(2). I cannot believe that this was the intention of Parliament.

With all respect to those who hold the opposite view, I do think that S 10(2) is capable of only one meaning. I concede of course that read in isolation it is capable of bearing the meaning for which the appellants contend, namely that the only relevant intention is that of the holder. So construed it will in practice mean that almost all applications to have access to documentation held in a solicitor's office are likely to be unsuccessful, for it is surely only in rare cases that solicitors will be party to the crime and it is in still rarer cases that it will be possible to satisfy the judge that this is so; but it will be the innocent solicitor's duty to take the point of privilege on behalf of his client and, of course, the criminal solicitor will also take the point.

Words and phrases must be construed in their context, according to their subject matter and, in the case of a statute, against a background of the existing law, which in this case is law relating to legal privilege, including the rule that the privilege is that of the client and not (he solicitor, although it is the duty of the solicitor to protect his client's privilege unless the client waives it.

I am also mindful that the use of the passive tense of a verb may convey a different shade of meaning to the use of the active tense. For example, if I write 'I hold ammunition with the intention of firing it at Bisley', it is obvious that I am referring to my intention to fire the ammunition at Bisley. If, however, I gave the following instruction. 'Ammunition held in the armoury with the intention of firing it at Bisley must be inspected'. I would not expect the man in charge of the armoury to think that only the ammunition (that he intended to fire at Bisley need be inspected; I would expect him to understand that all ammunition earmarked for use at Bisley must be inspected no matter who intended to fire it.

I am not persuaded by the argument that the draftsman could have made the meaning of S 10(2) clear by using the word 'made' for 'held', so that sub-S(2) read 'Items made with the intention of furthering a criminal purpose are not items subject to legal privilege'. Surely the same argument would be advanced by the appellants, namely, that the intention must be the intention of the maker of the item. The solicitor would therefore say in respect of his advice as to how to further the criminal purpose: 'I wrote this advice, I am therefore the maker of this item, but I had no idea that it was connected with "drug money", therefore it remains privileged because I had no intention of furthering a criminal purpose.' The argument seems to me to be exactly the same whether the word 'hold' or 'make' is used.

Lord Goff demonstrates that S 10(2) cannot be given a literal meaning because this would rob it of virtually all content by limiting its application to situations in which the documentation was to be used for some future criminal purpose, whereas in the nature of things, the police are almost always investigating past crimes. We must, therefore, apply a purposive rather than a literal construction to the clause. I cannot believe that it was the intention of Parliament to protect from inspection documentation that came into existence for the purpose of furthering crime, in this case the laundering of drug money, which would be admissible at the trial, but such would be the effect of the clause if it is construed as excluding the intention of anyone other than the holder.

I can also see very considerable practical difficulties in applying the section if only the intention of

the holder is relevant. If the police wish to have access to documents in a solicitors office, they will serve notice on the firm, as they did in this case. It may be a very large firm; who is the holder whose intention is relevant to destroy the privilege? Do the police have to identify the person in the firm, charged with the safe custody of the documents 'and show that he was party to a criminal conspiracy Or is it sufficient that anyone working in the firm was party to the criminal conspiracy no matter who 'holds' the documents? And what if the conspiring solicitor has taken fright and fled the country? Are the documents protected because they remain in the custody of his innocent partners? Furthermore, a construction limiting the intention to that of the holder would lead to the strange result that whether or not legal privilege could be claimed for a document would depend on whether that document happened to be in the hands of the solicitor or the client. On the assumption that the solicitor is innocent but that his client is a drug dealer, copies of letters written by the solicitor to his client, but retained in his office, which contained advice that facilitated laundering drug money would be subject to legal privilege, but the originals of that advice, in the hands of the client, would not be subject to legal privilege. What sense is there in protecting the copy but not the original? Finally, I am impressed by the fact that Parliament when applying this Act to Scotland has provided that legal privilege should be governed by the same rules of law in relation to the inspection of documents as would apply to their admissibility at the trial: see S 29(3). I am unable to think that it was Parliament's intention that there should be a radically different rule applied in Scotland to that applied in England.

My Lords, I am convinced that Parliament was not seeking to enact a special code of legal privilege of different import to the common law position. I believe the draftsman was seeking to spell out the common law position for the benefit of those unacquainted with it and that S 10(2) must be construed with this in mind. The object of S 10(2) must be construed with this in mind. The object of S 10(2) is in my view to explain that there is no privilege in material prepared for a criminal purpose.

I am in entire agreement with the analysis of the language of the section contained in the speech of my noble and learned friend Lord Goff, and for the reasons he gives I would construe the words as applying to all documents prepared with the intention of furthering a criminal purpose whether the purpose be that of the client, the solicitor or any other person, I can see no reason why the law should seek to protect such a document and thus shield the criminal from detection and prosecution.

Anxiety was expressed on behalf of the appellants and the Law Society about the difficulties with which a solicitor would be faced by such a construction. I do not think that the honest solicitor should have any cause for concern. If the police wish to gain access to documentation in the solicitor's possession which is prima facie privileged, they will as first step have to make an ex parte application to a circuit judge, identifying the suspected drug trafficker and the documents they wish to inspect. If the documents fall into the class that are prima facie privileged, the judge must not make the order unless satisfied that the documents were in fact brought into existence for the purpose of furthering a criminal purpose. If the judge is so satisfied and makes the order, S 27(3) the 1986 Act provides that it should make the order to take effect at some future date, generally seven days, the purpose of which is to give the solicitor the opportunity to apply to the judge to discharge the order as specifically provided for by r 25B of the Crown Court Rules 1982, SI 1982/1109, as inserted by the Crown Court (Amendment) Rules 1986, SI 1986/2151. Before making such an application, the solicitor will have the opportunity to ask his client if he has any objection to the police having access to the documentation and whether he is prepared to waive privilege if it exists, if the client does object to the police seeing the documents, then the solicitor, or counsel, will appear before the judge and seek to persuade the judge to discharge the order on the grounds that legal privilege attaches to the documents. If the judge overrules objections, no blame can attach to the solicitor.

In the present case, the appellant solicitors did not seek their client's inductions before objecting to the judge's order because they were afraid that if they did so they might be in breach of S 31 of the 1986 Act, which provides: (1) Where, in relation to an investigation into drug trafficking, an order under section 27 of this Act has been made or has been applied for and has not been refused or a warrant under section 28 of this Act has been issued, a person who, knowing or suspecting that the investigation is taking place, makes any disclosure which is likely to prejudice the investigation is guilty of an offence.

(2) In proceedings against a person for an offence under this section, it is a defence to prove—(a) that he did not know or suspect that the disclosure was likely to prejudice the investigation, or (b) that he had lawful authority or reasonable excuse for making the disclosure.

(3) A person guilty of an offence under this section shall be liable—(a) on conviction on indictment, to imprisonment for a term not exceeding five years or to a fine or to both, and (b) on summary conviction, to imprisonment for a term not exceeding six months or to a fine not exceeding the statutory maximum or to both.

In the course of these proceedings an application was made to Webster J for leave to move for judicial review to quash the judge's order on the ground that it was invalid as being obtained in breach of the rules of natural justice because the client had not been told by the appellants about the judge's order and therefore was deprived of a fair hearing when the application was made to discharge the order. Webster J dismissed the application on paper and observed "A solicitor-client relationship must constitute reasonable excuse. I would have thought. The application seems to me to be unarguable".

Whilst I can understand the apprehension of the appellants on this occasion, I have no doubt that the observation of Webster J was correct and that if an order to give access to documentation is made under S 27, the solicitor-client relationship provides a reasonable excuse within the meaning of the section for the solicitor to take his client's instructions whether the order should be contested.

If the police believe that this would hinder their investigation, then they will have to try to persuade a judge to grant them a warrant to make an immediate search of the premises pursuant to an application under s 28 of the 1986 Act. The judge will bear in mind that such a warrant does not entitle the police to seize items subject to legal privilege and should be careful not to grant a warrant too readily if the material sought by the police is *prima facie*, subject to legal privilege. The judge will have to be satisfied that the material is not in fact subject to legal privilege because it was prepared for the purpose of furthering criminal purpose and in making his decision take into account the fact that there will be no opportunity for the solicitor to argue in favour of the privilege. In practice, I would have thought that the issue of an immediate search warrant of a solicitor's office would be justified in comparatively rare occasions and generally confined to cases in which the solicitor was suspected of complicity in the crime.

My Lords, for these reasons I support the construction preferred by my noble and learned friends Lord Braithwaite and Lord Goff and by the Divisional Court and I would dismiss this appeal, and answer the certified question as they propose.

LORD OLIVER OF AYLESBURY. My Lords, the problem raised by this appeal is one which has given me very great difficulty and I have to confess to having changed my opinion more than once both in the course of and after the conclusion of the argument. I have also to confess, however, that in the end I have become convinced that the problems which have been canvassed arise

rather from the arguments which have been addressed than from any inherent difficulty in construing the simple, straightforward and perfectly clear words of the statute which your Lordships are called on to interpret.

I take it to be a primary canon of statutory construction that words are to be read in their ordinary, natural meaning unless there is some compulsive reason for reading them in some other and secondary sense. There is here no doubt about the ordinary, natural meaning of the words of S 10(2) of the Police and Criminal Evidence Act, 1984. They are clear; they are concise; and they are unequivocal. There is no ambiguity about them. 'Items held with the intention of furthering a criminal purpose' cannot, as a matter of plain, ordinary English, refer to items in relation to which the holder has no such intention but which figure in the intentions of some quite different person who is not the holder. Equally, there is no difficulty about giving the subsection a perfectly sensible operation. If the holder of an item otherwise the subject matter or privilege under sub-S (1) holds the item with the intention of furthering a criminal purpose, the privilege is destroyed. That much, at the least, is the clear intent of the subsection.

And if one starts from the position that the words used are simple and sensible and they have a simple and sensible operation, producing a result that one would expect, namely that of denying privilege from production to material which is held by, for instance, a solicitor who intends to further a criminal purpose. What is said, however, is that although this is exactly what one would expect, it is not all that one would expect. Parliament, in conferring powers on the police to compel production and, in certain circumstances, to enter and search, evidently intended to facilitate and assist the investigation, detection and prevention of crime. That intention is not fully and effectively implemented unless privilege is denied not only where the holder of otherwise privileged material has the intention of furthering a criminal purpose but where the holder is entirely innocent and the relevant intention is that of the person who consigned the material to him or even of some third person of whom an equally innocent consignor is the unwitting instrument. If Parliament did not intend this, it ought to have done, for otherwise there is an anomalous omission and the purpose of the legislation will not be fully and effectively fulfilled. To deny legal professional privilege in cases where the holder of the document is innocent but the maker of the document harbours a criminal intent which is unknown to the holder would, it is said, make much better sense and assist in furthering the general purpose for which the 1984 Act was passed. So, he argues ultimately, because it would have been more sensible for Parliament to have done that, Parliament must be deemed despite what it has said in clear language, to have intended to do it. The words must then, by interpretation, be construed as giving effect to that intention by attributing to them a meaning which they cannot possibly bear as a matter of ordinary English. It is not clear to me by what principle of statutory construction such a process is regarded as permissible unless it be by the invention of a new doctrine of judicial rectification, in exercise of which the court, by virtue of its superior perception of what public policy requires, is entitled to arrogate to itself the function of legislating where Parliament has not seen fit to do so. Such a principle appears to me to be entirely contrary to established principle which I take to be encapsulated in the words of Lord Reid in *IRC v Hinchey* [1960] All ER 505 at 512, [1960] AC 748 at 767; 'What we must look for is the intention of Parliament, and I also find it difficult to believe that Parliament ever really intended the consequences which flow from the Crown's contention. But we can only take the intention of Parliament from the words which they have used in the Act, and therefore the question is whether these words are capable of a more limited construction. If not, then we must apply them as they stand, however unreasonable or unjust the consequences, and however strongly we may suspect that this was not the real intention of Parliament.'

The process is, if it is claimed, justified because there can be discerned in the section an intention to define legal privilege by reference to the existing position at common law. But this is, with

respect, pure speculation. There is not, so far as I am aware, any authority in the common law dealing with the question of whether a criminal intent on the part of a stranger to the relationship of solicitor and client destroys the privilege of the client. If, therefore, the subsection does indeed bear the meaning now sought to be ascribed to it by the respondent, it is breaking new ground and the legislative intent has to be the words which Parliament has chosen to use.

My Lords, I accept, of course, that to read into the subsection after the word 'intention' words such as 'of any person' is grammatically permissible, but for my part I doubt whether much assistance is to be obtained from grammatical analysis. Whatever addition is made the intention is connected inevitably to the holding by the conjunctive 'with' and one cannot sensibly as a matter of language speak of doing anything 'with' someone else's intention any more than one can sensibly speak of acting 'with' someone else's malice. Intention is a state of mind. No doubt it can and usually does relate to an object of some kind. So, in the subsection under consideration, it is implicit that the intention relates to the holding of the item or to some use that is to be made of the item. It cannot, for instance, be relevant that the holder of the item harbours some criminal intention entirely unrelated to the item, such as robbing the gas meter. But, having said that, the intention, though it relates to the items which are the subject of the sentence, cannot sensibly be separated from the mind in which the intention is formed and made to hover, like the Cheshire Cagrin in Alice in Wonderland, over the items and travel with them into the hands of some other person so that they then become held 'with' that intention. In the ultimate analysis, the construction contended for by the respondent involves the substitution of some other word (for instance 'made') for the word 'held'. That would have been so simple and would have achieved what the respondent asks your Lordships to suppose was the parliamentary intention. But that is exactly what Parliament did not do and the contrast between 'held' in sub-s (2) and 'made' repeatedly used in sub-s (1) is so striking that I, for my part, find difficulty in accepting that it was unintentional. As Lord Hewart CJ observed in *Spillers Ltd v Cardiff Assessment Committee* [1931] 2 KB 21 at 43, [1931] All ER Rep 524 at 528-529 in a passage approved and adopted by the Judicial Committee of the Privy Council in *New Plymouth BC v Taranaki Electric-power Board* [1933] AC 680 at 682: 'It ought to be the rule, and we are glad to think that it is the rule, that words are used in an Act of Parliament correctly and, exactly, and not loosely and inexactly. Upon those who assert that rule has been broken the burden of establishing their proposition lies heavily. And they can discharge it only by pointing to something in the context which goes to show that the loose and inexact meaning must be preferred.' I can find nothing in the context of this Act which satisfies that burden.

As to the argument that the ordinary and natural meaning of the words leads to absurdity, I respectfully question this. It certainly produces in practice a very limited set of circumstances in which privilege is denied, for solicitors with criminal intentions are, happily, not ordinarily encountered. It may even be said to be anomalous and incomplete having regard to the overall purpose of the legislation, but it has to be remembered that this is legislation authorising a constable to call for production of material from a solicitor who will be under a duty to claim privilege if it exists and who may be unable to seek his client's instructions and there is nothing necessarily absurd in limiting the denial of the privilege *prima facie* attaching to documents to cases where the solicitor himself is a party to the criminal purpose.

I am equally unimpressed by the argument (which I think is simply another way of expressing the same concept) that Parliament 'cannot' or 'cannot sensibly' have intended to restrict the denial of legal professional privilege within so narrow a compass. I confess that I do not see why. There is a respectable body of informed and sensible opinion in the Law Society and, I suspect, many, if not all, of its members, that whilst it is perfectly right and sensible that a solicitor should answer for his own intentions, he should not be put in a position where the correctness or otherwise of his decision whether his duty to his client requires him to take his stand on legal professional

privilege is made to depend on an intention of which he knows nothing particularly where he may be held liable for contempt of court if he gets it wrong. This may, for aught that your Lordships know, have been a consideration which Parliament, in framing the legislation, had very much in mind. Indeed, had the subsection been phrased in the way in which the respondent urges your Lordships now to paraphrase it, it might very well have attracted representations and objections from interested professional bodies during the passage of the Bill through Parliament.

The fact is that the whole of the respondent's case rests on a speculation about parliamentary intention in using quite unambiguous language. If that speculation is to lead the court to substitute for the clear and unequivocal words used a sense which, in ordinary usage, they are quite incapable of bearing in order to fill a supposedly unintentional lacuna, this, in my opinion, involves stepping outside the judicial role and assuming, without the benefit of public discussion or debate, that matter which is properly reserved to the legislature alone.

For these reasons and for the reasons contained in the speech delivered by my noble and learned friend Lord Bridge, which I have had the advantage of reading in draft. I would, for my part, allow the appeal and answer the certified question in the sense which he has indicated.

LORD OFFICE OF CHIEF JUSTICE. My Lords, the question at issue in this case is whether the appellant solicitors are entitled to an order for judicial review quashing an order made for production by the solicitors of certain documents. That order was made under S 27 of the Drug Trafficking Offences Act 1986. The police are carrying out investigations into the affairs of a man whom they believe to be trafficking in drugs on a very large scale, and whom they also believe to be salting away the proceeds of his drug trafficking in property, using members of his family for that purpose. One of those persons is a Mrs G, who is a client of the appellant solicitors. The police originally obtained an order, ex parte, from Mr. Recorder QC for production by the appellants of all files in their possession relating to Mrs G's financial transactions and dealings. The appellants applied for the variation or discharge of that wide order and, after an inter partes hearing before his Honour Judge Mummery QC, he varied the order so as to limit it to a particular property. The appellant then applied for leave to apply for judicial review to quash the order, as so varied, on the ground that the documents specified in the order were subject to legal privilege as defined in S 10 of the Police and Criminal Evidence Act 1984 and so, by virtue of S 27 (4)(b) (ii) of the 1986 Act, should be excluded from the order. Otton J gave leave to apply but, at the same time, took the opportunity to divide the documents specified in the order into two classes: those which could not possibly be the subject of legal privilege and those which might be. It is therefore in relation to documents within that latter category that the order for judicial review was sought. The appellants' application was dismissed by a Divisional Court (Lloyd LJ and Macpherson J) ([1988] All ER 677, [1988] WLR 627) on 21st December 1987. It is against that decision that the appellants now appeal to your Lordships' House by leave of the Divisional Court.

The appeal raises a by no means easy question of construction of S 10 of the 1984 Act. That section provides as follows: subject to subsection (2) below, in this Act "items subject to legal privilege" means—(a) communications between a professional legal adviser and his client or any person representing his client made in connection with the giving of legal advice to the client; (b) communications between a professional legal adviser and his client or any person representing his client or such an adviser or his client or any such representative and any other person made in connection with or in contemplation of legal proceedings and for the purposes of such proceedings; and (c) items enclosed with or referred to in such communications and made (i) in connection with the giving of legal advice; or (ii) in connection with or in contemplation of legal proceedings and for the purposes of such proceedings, when they are in the possession of a person who is entitled to possession of them.

(2) Items held with the intention of furthering criminal purpose are not items subject to legal privilege'.

The issue before the Divisional Court, and now before your Lordships, does not relate to the question whether some or all of the documents within the second of Oiton J's categories are or may be subject to legal privilege within S 10 (1) of the 1984 Act. The issue relates to the question whether, on the assumption that they are within that category, they are nevertheless excluded by S 10(2). The question of construction therefore relates to the meaning of S 10(2), as set in its statutory context.

Reduced to their essentials, the rival submissions advanced by the parties were as follows. For the appellants it was submitted that the natural and ordinary construction of S 10(2) led inevitably to the conclusion that the words 'held with the intention of furthering a criminal purpose' mean that the relevant intention must be the intention of the person holding the documents, which in the present case is the intention of the solicitors. There is no question here of the solicitors having the intention of furthering a criminal purpose; on the contrary, the only person alleged to have such an intention was neither the solicitors nor their client Mrs. (j, but a third party. For the respondent it was submitted that a literal construction of the subsection led to absurd results, and that, on a true construction of the subsection, it must be read and intended to reflect the common law position and so as referring to the intention of the client whether or not the solicitors were party to that intention; and further that the intention can even be the intention of a third party who is using the client as an innocent tool in order to further his criminal purpose. It was the submission of counsel for the respondent which found favour with the Divisional Court.

In order to consider these rival submissions, it is necessary to have regard, first of all, to the relevant words of the subsection, viz 'items held with the intention of furthering a criminal purpose'. Those words refer to items held by a certain person, i.e. in his possession, and refer to the items as being held by that person, i.e. being in his possession, with the intention of furthering a criminal purpose. It is suggested that, on a literal interpretation, not only must the intention be that of the person holding the items, but that it is his act of holding them, i.e. of having them in his possession, which must be with that intention. It was this interpretation which found favour with the Divisional Court in *R v Crown Court at Siwivsbrook, ex p DPP* [1988] 1 All ER 315 at 319-320. [1988] QB 532 at 538-539 per *Didwell LJ*.

Now in my opinion this construction does indeed lead to absurd consequences. It is only necessary to point out that, on this construction, at the time when the production of the items is called for, the relevant criminal purpose has been fulfilled. It must follow that, at that time, the items cannot then be held i.e. be in the possession of the holder, with the intention of furthering a criminal purpose. Yet it is obvious that the main purpose of Pt II of the 1984 Act, in which S 10 falls, is to confer powers on the police to enable them to confer powers on the police to enable them to detect the perpetrators of crime. In the vast majority of cases the police are engaged in so doing after, not before, the crime is perpetrated.

It is therefore unlikely in the extreme that an absolutely literal construction of S 10(2) reflects the intention of Parliament. In these circumstances it is necessary to consider the subsection in its statutory context in order to ascertain whether, as a matter of construction, a more sensible meaning can properly be attributed to it.

If I turn to sub-s (1) I find that the word 'items subject to legal privilege' are there defined. They relate (consistently with the common law position to which the subsection must therefore be presumed to be intended to give effect) to (a) certain communications made in connection with

the giving of legal advice, (b) certain communications made in relation to legal proceedings and (c) items enclosed or referred to in such communications and made in connection with the purposes referred to in (a) and (b) (the making of communications in the specified circumstances or of enclosures with or references in such communications) which confers legal privilege. Subsection (2) is concerned to negative the legal privilege which would otherwise be so conferred. By far the most likely moment when it would operate to negative such privilege is at the time when the relevant communication is made, which, in the case of a solicitor, will be the time when it comes into his possession, either through delivery to him by his client or by coming to him. S 10 this is the point of time when that will occur.

It is at once apparent that the words "items held with the intention of furthering a criminal purpose" must be a shorthand expression for (in the case of items held by a solicitor) items (1) which have come into the possession of the solicitor 'with the intention of furthering a criminal purpose' and (2) which are still in his possession at the time when he is required to give production of them. No other meaning can sensibly be ascribed to the words of the subsection. It is in relation to such items, therefore, that the question has to be asked: does the relevant intention have to be the intention of the person (ie in this example the solicitor) who has the items in this possession at the time when production of them is called for? When one looks at the full meaning of the words, there is no compelling reason why the words should be so read. If documents are said to have come into the possession of a solicitor with the intention of furthering a criminal purpose, that intention could just as well be the intention of some person other than the solicitor, and in particular, the intention of the client. Furthermore, there are overwhelming reasons which favour that interpretation. First, the interpretation would reflect the common law position (see *R v Cox and Railton* (1884) 14 QBD 153. [1881-5] All RE Rep 68); and since in my opinion sub-S (1) is intended to reflect the common law position, it would be most surprising if sub-S(2) was not likewise intended so to do. (I observe in parenthesis that in *Cross on Evidence* (6th edn, 1985) P 395 the opinion is expressed that S' 10 (1) (c) extends the scope of legal professional privilege beyond the common law; because at common law 'the privilege was regarded of the client, and if the document or thing were and protected in the hands of the client it could not attract protection merely by being submitted to a legal adviser'. I respectfully question whether that opinion is correct, because in S 10(1)(c) the protection is restricted to cover only items made in connection with the purposes specified in the paragraph). Second, it would be equally surprising if, in the context of Pt II of the 1984 Act, and its evident purpose, the legislature should have intended to restrict the effect of sub-s (2) and therefore the powers of the police in their efforts to detect crime, by confining sub-s (2) (which is expressly directed towards a case where there is an intention to further a criminal purpose) only to those cases where the solicitor has such an intention, and so extending legal privilege to protect the criminal. It is not to be forgotten that the privilege is the privilege of the client, not of the solicitor; and so it is to be expected that the privilege should be negated where the client has the intention to further a criminal purpose, whether or not his intention is shared with his solicitor. Indeed, one of the most important points established in the leading case of *R v Cox and Railton* was that legal professional privilege does not exist where the client has such an intention, even though his intention is unknown to his solicitor; and it would surely be most extraordinary if S 10(2) was drafted with the intention of excluding that principle, thereby substantially extending the scope of the privilege to protect the dishonest client. Furthermore, the opposite conclusion would not merely lead to the remarkable result that two different versions of legal privilege would have to coexist, the common law version, which has long been entrenched in our law, and the statutory version encapsulated in S 10; but also that, in consequence, the extraordinary position would be reached that in certain circumstances the police would be prevented by legal privilege from calling for the production of certain documents, although such documents, if obtained, would not be protected by legal privilege when placed in evidence before the court.

For these reasons I find myself to be in agreement with the conclusion reached by the Divisional Court that the "intention of furthering a criminal purpose referred to in sub-S(2) cannot, by a process of literal construction, be restricted to the intention of the person having the items in his possession at the time when delivery of them is called for.

I wish to add that, in my opinion, the words should not be read as limited to an intention of furthering the commission of a criminal offence. This is not what the subsection provides; and so to read it would exclude those cases where the criminal offence has been committed and the purpose of the criminal is to salt away, for his own benefit, the proceeds of his crime. The purpose of a bank robber is not just to rob a bank: it is to obtain the money for his own benefit. His criminal purpose is still being furthered when he is concealing the money which he has stolen, or otherwise salting it away. So if a drug trafficker, having unlawfully trafficked in drugs, is salting away his ill-gotten gains in the purchase of preoperty, he is still acting with the intention of furthering his criminal purpose (even if he is acting through a person who is his innocent tool). It follows that no difficulty arises in the present case from the mere fact that, at the relevant time, the drug trafficker may have completed the commission of the criminal offence of trafficking in drugs.

In the course of argument, your Lordships were referred to S. 29 of the Drug Trafficking Offences Act 1986, in sub-s (2) of which it is provided that, in Ss. 27 and 28 of the Act, the expression items subject to legal privilege shall have the same meaning as in the Police and Criminal Evidence Act 1984 (i.e. in s K) of that Act), and in sub-S (3) that, as respects Scotland, in Ss 27 and 28 the same expression shall mean certain communications 'being communications which would in legal proceedings be protected from disclosure by virtue of any rule of law relating to the confidentiality of communications.' It follows that, so far as Scotland is concerned, Parliament intended that confidentiality of documents should, as may noble and learned friend Lord Griffiths has pointed out, be governed by the same rules of law in relation to inspection of the documents as applied in relation to their admissibility at trial. Furthermore, it is well established in the Scots law of confidentiality of communications, as in the English law of legal privilege, that the protection does not apply where the transaction as to which the communication passed is fraudulent or criminal, whether the solicitor in possession of the documents is an innocent instrument or an accomplice; see Dickson Law of Evidence in Scotland (3rd edn. 1887) vol 2, para 1678 and 4 Encyclopaedia of the Laws of Scotland (ed Lord Dunedin and Walk, 1927) para 795 and cases there cited. Thus it is stated in Dickson (a work of authority): 'One who consults a legal adviser, with a view to committing a fraud or other crime, makes him either an innocent instrument of his guilt or an accomplice. In neither case will so important a part of the history of the crime be excluded on account of confidentiality; for the ground of policy on which the privilege is founded in ordinary cases must give way, where preserving it would prevent crime from being detected.' The inference is inescapable that, in S 29 of the 1986 Act, Parliament, by preferring to adopt the statutory definition of legal privilege (rather than the common law principle) for English law, and at the same time retaining the Scots common law principle of confidentiality of communications for Scots law (without qualifying it by providing that such confidentiality shall exist despite the criminal purpose of the client in cases where the solicitor is innocent), must have understood the statutory definition of legal privilege not to provide for any such qualification of the English Common law principle. I must confess that I am not surprised.

Strictly speaking, it may not be permissible to pray in aid the later statute in order to discover the legislative intention in the earlier statute; however, my conclusion on the construction of the earlier statute has been reached without reference to the later. Likewise, for the reasons given by my noble and learned friend Lord Griffiths, I do not consider that opinions held by certain solicitors as to what they see to be the desirable effect of this legislation provide (with all respect to those who hold such opinions) any useful guide to its construction.

There remains, however, a further question. Does the exemption in sub s (2) apply (in the case of items in the possession of a solicitor) where the intention of furthering a criminal purpose is not the intention of the client, but is the intention of a person who is using the client as an innocent tool for the purpose of effecting his intention? That the words of the subsection are wide enough to embrace such an intention, I have no doubt. But once again a literal reading cannot provide, of itself, a satisfactory answer. It is necessary to consider the words in their context, including in that context not only the remainder of the section but also the evident legislative purpose.

As I have already indicated, it appears to me, having regard to the contents of sub-S(1) and the construction which I have considered must be placed on sub-S(2), that the intention of the legislature was to encapsulate in S 10 the common law principle relating to what used to be called legal professional privilege. It is appropriate therefore to turn to the common law for guidance. Unfortunately, however, there is no authority directly in point, for, so far as the researches of counsel have revealed, the point has never before arisen for legal decision. It follows that it is necessary to consider the point as a matter of first impression.

The crucial question is whether the third party's criminal intention should have the effect of excluding the privilege of the client whom the third party is using as any innocent tool. The Divisional Court answered this question in the affirmative. Lord Justice Ungoed-Thomas said ([1988] A1 Er 677 at 68, [1988] 2 WLR 627 at 633); I feel great hesitation about this. But I am fortified by the concession of counsel for the applicants that "a criminal purpose" in S 10 (2) must mean "any criminal purpose". If so, then the logic of the argument, which I have accepted so far, leads to the conclusion that the criminal purpose may be the purpose of a third party as well as the client, at any rate if the client is the innocent instrument or beneficiary of the third party's criminal purpose. That is indeed the position in the present case on the facts alleged by the police.

In considering this question, it is necessary to inquire what is the rationale of this exception to legal professional privilege at common law. This is to be discovered from *R v Cox and Railton* (1884) 14 QBD 153. [1881-5] All ER Rep 68 itself. In that case the judgment of the Court for Crown Cases Reserved (Grove), Pollock, Huddleston BB, Lopes, Hawkins, Stephen. Warrington Williams, Mathew, Day and Smith JJ) was delivered by Stephen J. He referred to the judgment of Lord Brougham LC in *Greene v Gaskell* (1833) 1 My & K 98 at 103 1824-34] All ER Rep 767 at 770, in which he stated the foundation of the rule of legal professional privilege to be as follows.

it is out of regard to the interests of justice, which cannot be upheld, and to the administration of justice, which cannot go on, without the aid of men skilled in jurisprudence, in the practice of the Courts, and in those matters affecting rights and obligations which form the subject of all judicial proceedings.

Stephen J then continued (14 QBD 153 at 167 [1881-5] All ER Rep 68 at 71); 'This rule has been accepted and acted upon ever since, and we fully recognise its authority, but we think that the present case does not fall either under the reason on which it rests, or within the terms in which it is expressed. The reason on which the rule is said to rest cannot include the case of communications, criminal in themselves, or intended to further any criminal purpose, for the protection of such communications cannot possibly be otherwise than injurious to the interests OF JUSTICE, and to those of the administration of justice. Nor do such communications fall within the terms of the rule. A communication in furtherance of a criminal purpose does not "come into the ordinary scope of professional employment." Now, when I have regard both to the purpose which has long been understood to underlie the principle of legal professional privilege, and to the reason why communications passing between a client with a criminal

purpose and a solicitor who is innocent of any such purpose are held not to be protected by such privilege, it appears to me to be immaterial to the exception whether it is the client himself, or a third party who is using the client as his innocent tool, who has the criminal intention. In either case, to adopt the words of Stephen J, the communications are intended to further a criminal purpose; in either case the protection of such communication cannot be otherwise than injurious to the interests of justice; and in either case the communications are in furtherance of a criminal purpose, and so cannot come within the ordinary scope of professional employment. Accordingly, unless there is some authority, or compelling reason, leading to an opposite conclusion, I would hold that the criminal intention of the third party will, in the circumstances under consideration, exclude the application of the principle of legal professional privilege at common law, even though the privilege, if attached, would be the privilege of the client and not of the third party.

I have already stated that, so far as I am aware, there is no authority which points to the opposite conclusion. Is there any compelling reason which does so? The only reason suggested in the course of argument was that the client (as opposed to the third party) might be making the relevant communication to his solicitor in circumstances in which he was entitled to assume that the matter was protected by privilege, and in which he therefore felt able to communicate with his solicitor freely and without fear that his communications might thereafter be disclosed without his consent. To that objection there are, I consider, a number of answers. The first is that his privilege will only be excluded in so far as it relates to communications (or items enclosed with such communications, or to which reference is made in them) made with the third party's intention of furthering a criminal purpose. No other communication will be excluded on the ground of furthering a criminal purpose. No other communication will be excluded on the ground of being protected. Second, the client is ex hypothesi innocent of the criminal purpose; disclosure of the circumstances will not in that respect be to his disadvantage. Third, the type of case under consideration must surely be most exceptional.

Fourth, and most important of all, it seems to me that the disclosure of the third party's iniquity must, in the interests of justice, prevail over the privilege of the client, innocent though he may be.

Such being the principle at common law, I can see no reason why s 10 (2) of the 1984 Act should not be construed to the same effect. The words of S 10 (2) are amply wide enough to embrace the common law principle; and the subsection should be wide enough to embrace the common law principle; and the subsection should surely be construed, where the words are wide enough, to embrace the principle.

For these reasons, I find myself to be in agreement with the conclusion of the Divisional Court on this aspect of the case also.

I have to recognise that, as I have already indicated, my conclusion in the present case undermines part of the reasoning of Glidewell LJ in *R v Crown Court at Snaresbrook, ex p DPP* [1988] 1 All ER 315 at 319-320, [1988] QB 532 at 538-539. But it does not necessarily undermine the conclusion of the Divisional Court in that case. This is because I am inclined to agree with Glidewell LJ that the common law principle on legal professional privilege cannot be excluded, by the exception established in *R v Cox and Railton*, in cases where a communication is made by a client to his legal adviser regarding the conduct of his case in criminal or civil proceedings, merely because such communication is untrue and would, if acted on, lead to the commission of the crime of perjury in such proceedings. As at present advised I would be minded, if the matter arose for decision, to interpret S. 10 (2) of the 1984 Act in accordance with the common law in this respect also. However, the point does not arise for decision in the present case, and I need say no more about it.

For the reasons I have given, I would dismiss the appeal, and I would answer the certified question in the manner proposed by my noble and learned friend Lord Brandon.

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